

Costco Financial Performance Analysis (FY2021–2025)

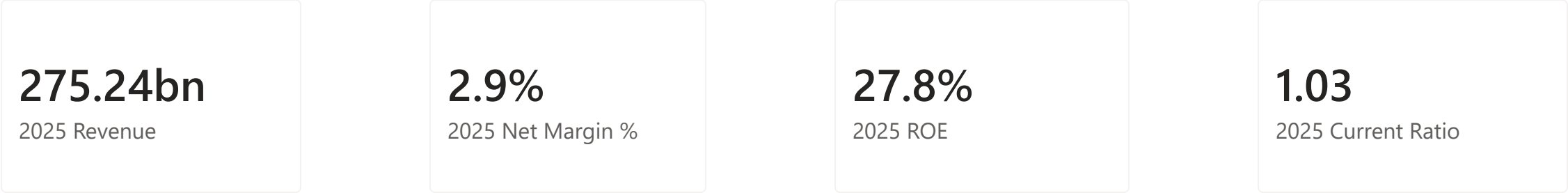
Analyzing Costco's profitability, liquidity, and balance sheet trends using data from public SEC filings.

Jackson Kerins

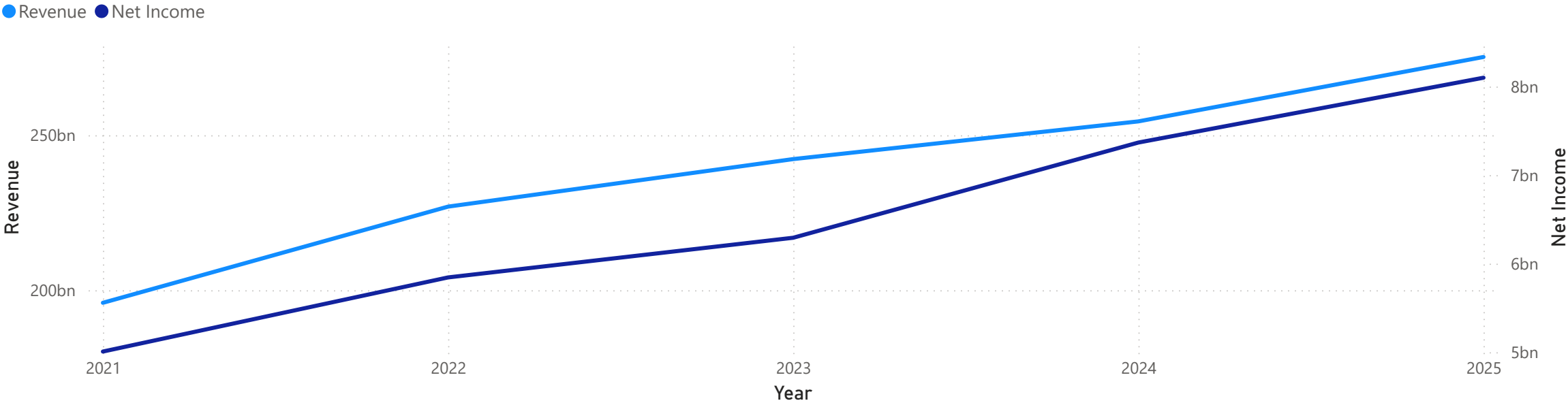
Data source: Costco Wholesale Corporation (NASDAQ: COST) — Financial statement data compiled from Costco's audited 10-K filings, FY2021–FY2025.

Executive Summary

In FY2025, Costco generated \$275B in revenue with a 2.9% net margin and 27.8% ROE — up from \$196B in revenue and 2.6% net margin in FY2021, reflecting steady growth and disciplined cost management despite inflationary pressure.



Revenue and Net Income by Year

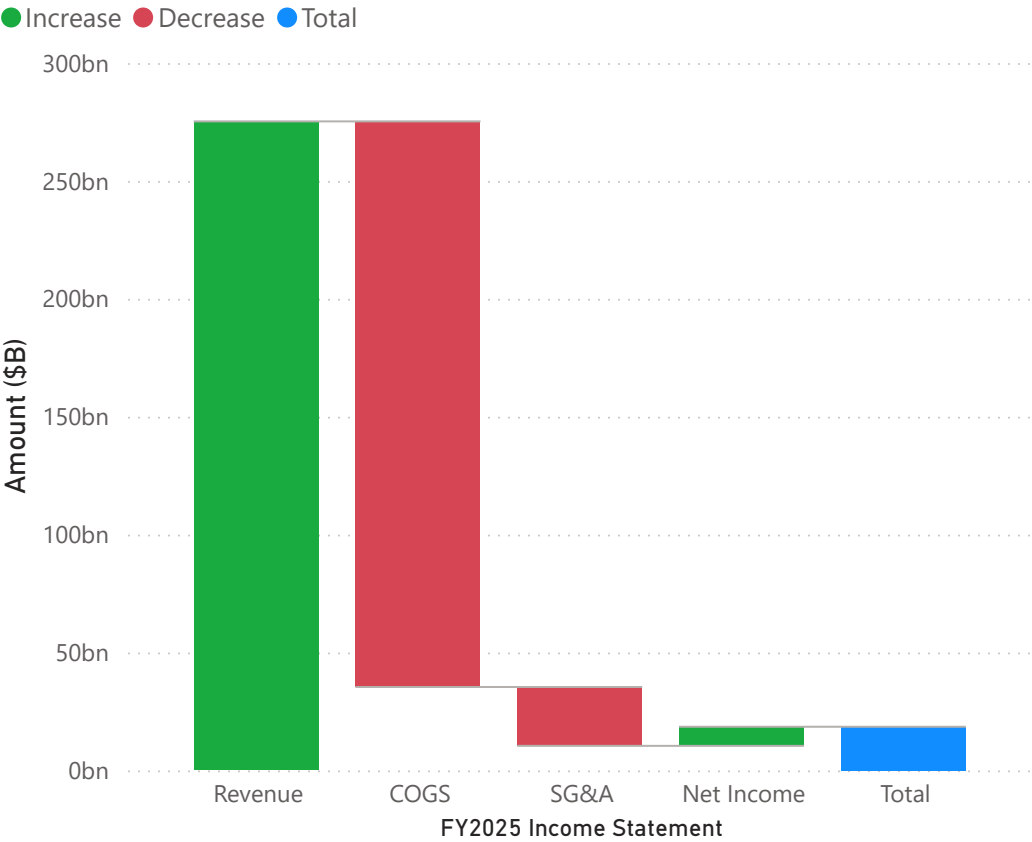


Profitability Deep Dive

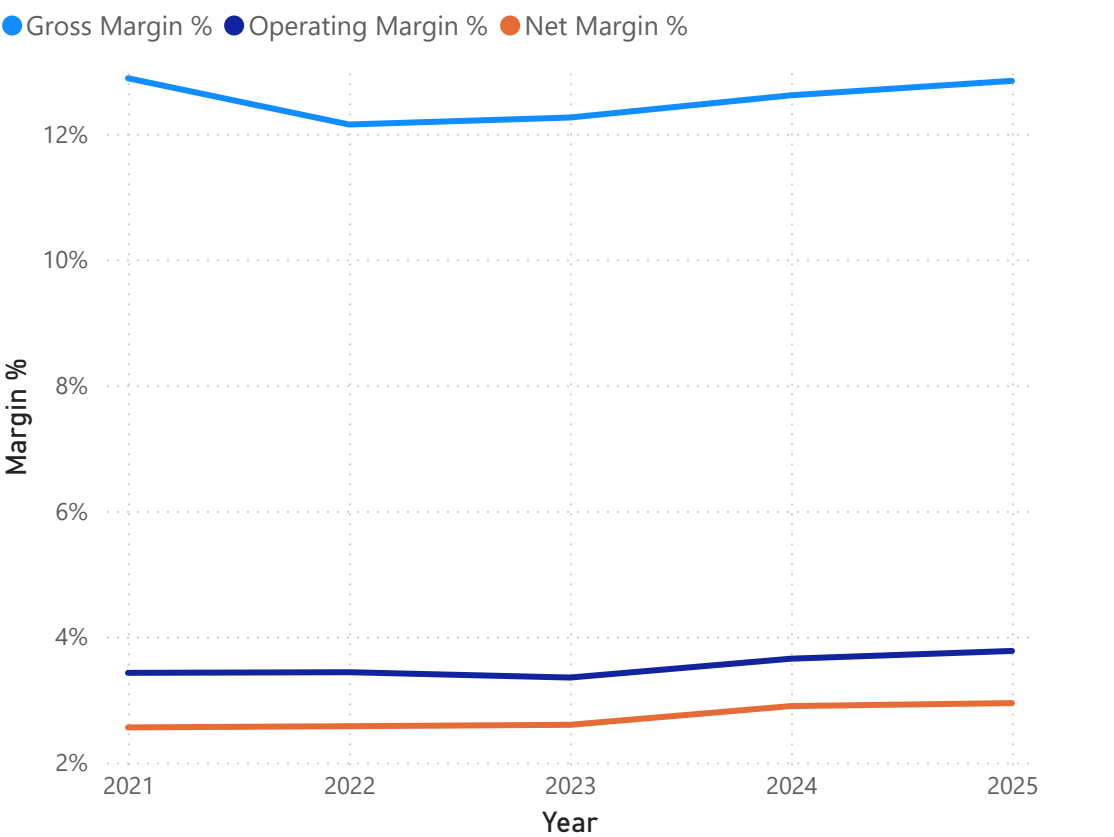
COGS consumes roughly 87% of Costco's revenue, reflecting its low-margin, high-volume retail model — yet disciplined SG&A management has driven steady margin expansion from 2021 to 2025.



Revenue to Net Income Bridge (FY2025)



Margin Trends (2021–2025)

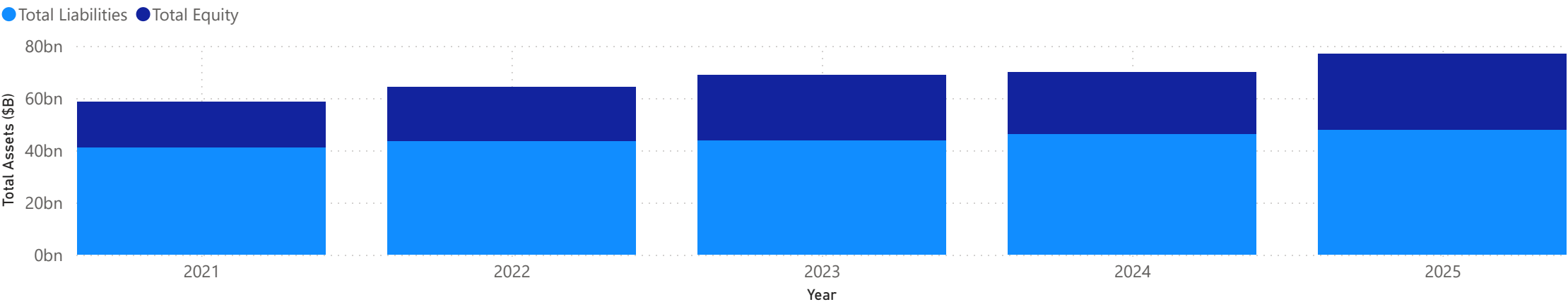


Balance Sheet & Liquidity

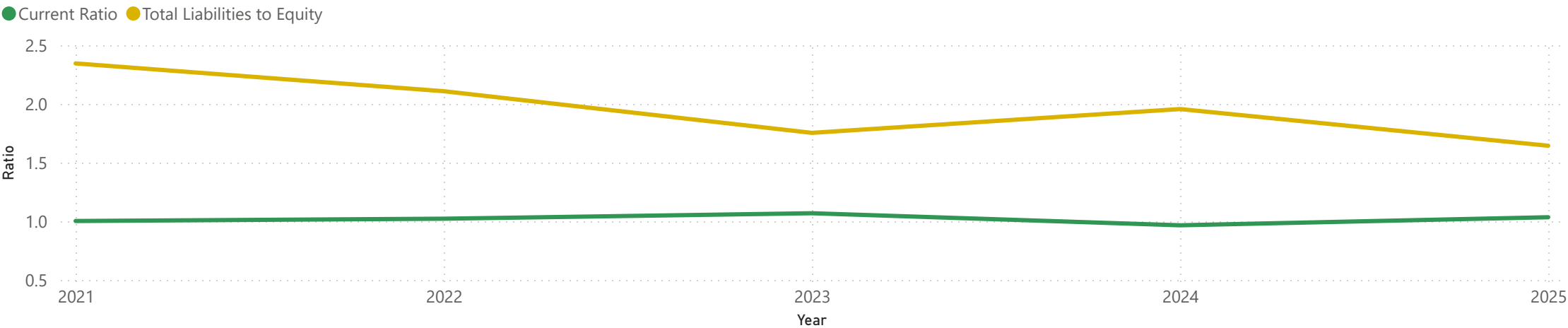
Costco's balance sheet has grown steadily, with total assets expanding from \$59B to \$77B (2021–2025) while maintaining a healthy current ratio above 1.0 — indicating strong short-term liquidity despite rapid growth.



Balance Sheet Composition



Liquidity & Leverage Trends



Key Takeaways

- **Growth:** Revenue grew from \$196B to \$275B (2021–2025), a ~9% CAGR, driven by consistent same-store sales growth and new warehouse openings
- **Profitability:** Despite razor-thin retail margins (COGS = 87% of revenue), disciplined SG&A management expanded net margin from 2.6% to 2.9%
- **Balance sheet:** Costco reduced leverage (total liabilities to equity fell from 2.3 to 1.7) while maintaining strong liquidity (current ratio consistently above 1.0) - a strengthening financial position even as the company grew
- **Optional forward-looking line:** These trends suggest continued operational discipline supports Costco's ability to fund growth without over leveraging the balance sheet